

Block, Inc. Fourth Quarter 2024 Earnings Call - Prepared Remarks

Nikhil Dixit, Head of Investor Relations

Hi, everyone.

Thanks for joining our fourth quarter 2024 earnings call. We have Jack and Amrita with us today.

We will begin this call with some short remarks before opening the call directly to your questions. During Q&A, we will take questions from conference call participants.

We would also like to remind everyone that we will be making forward-looking statements on this call. All statements other than statements of historical fact could be deemed to be forward-looking. These forward-looking statements include discussions of our outlook, strategy and guidance as well as our long-term targets and goals. These statements are subject to risks and uncertainties. Actual results could differ materially from those contemplated by our forward-looking statements. Reported results should not be considered an indication of future performance.

Please take a look at our filings with the SEC for a discussion of the factors that could cause our results to differ. Also, note that the forward-looking statements on this call are based on information available to us as of today's date. We disclaim any obligation to update any forward-looking statements, except as required by law. Further, any discussion during this call of our lending and banking products refer to products that are offered through Square Financial Services or our bank partners.

Within these remarks, we will also discuss metrics related to our investment framework, including Rule of 40. With Rule of 40, we are evaluating the sum of our gross profit growth and Adjusted Operating Income margin.

Also, we will discuss certain non-GAAP financial measures during this call. Reconciliations to the most directly comparable GAAP financial measures are provided in the Shareholder Letter, and our Historical Financial Information spreadsheet on our Investor Relations website. These non-GAAP measures are not intended to be a substitute for our GAAP results.

Finally, this call in its entirety is being audio webcast on our Investor Relations website. An audio replay of this call and the transcript for Jack and Amrita's opening remarks will be available on our website shortly.

With that, I would like to turn it over to Jack.

Jack Dorsey, Block Head

Thank you all for joining. My letter this quarter walks through the progress we made in 2024. We expanded Square from a payments tool into a full commerce platform, enhanced Cash App's financial services offerings, and restructured our organization to move faster against our roadmap. Looking ahead, we're focused on connecting local communities - block-by-block - through our "neighborhood network" strategy, investing in AI automation, open-source innovation and bitcoin infrastructure - all with the goal of expanding financial access globally.

If you haven't yet, please read our letter for more details. And with that, I'll turn it over to Amrita for some highlights from the quarter.

Amrita Ahuja, Chief Operating Officer and Chief Financial Officer

Thanks Jack.

In 2024, we drove gross profit growth at scale while dramatically improving efficiency across our business. We ended 2024 with \$8.89 billion in gross profit, representing 18% year-over-year growth, with Square up 15% and Cash App up 21%. Similar to prior years, we saw gross profit retention of more than 100% in 2024 for both Square and Cash App as we deepened engagement with our customers.

We saw an acceleration in two key metrics as we exited the year: Square GPV grew 10% year over year in the fourth quarter, with improvements in same-store sales and customer retention, as year-over-year growth in the U.S. increased 200 basis points sequentially to 6.9%. For Cash App, paycheck deposit actives reached 2.5 million in December, growing 25% year over year, and we saw an increase in momentum in the second half of the year.

Our focus on disciplined execution led to a significant increase in profitability and operating leverage in 2024. Adjusted EBITDA was \$3.03 billion, up 69% year over year, and Adjusted Operating Income was \$1.61 billion, a more than 4.5x increase on a year-over-year basis, delivering 13 points of margin expansion.

And for the twelve months ending in December, Adjusted Free Cash Flow was \$2.07 billion, compared to \$515 million a year ago. We achieved 36.5 on a Rule of 40 basis in 2024, up 7 points from the year prior.

Let's look ahead to our guidance for 2025 and share why we're excited about the trajectory of our business across both growth and profitability. Consistent with what we called out last quarter and assuming a stable macro environment, we expect strong gross profit growth of at least 15% year over year, or at least \$10.22 billion in gross profit. We're maintaining our gross profit guidance for 2025 despite absorbing an incremental 50 basis points of headwinds from FX rates compared to our preliminary guide in early November.

Given the unique growth dynamics during the year – including, lapping leap year last February and tougher FX comparisons in the early part of 2025 – we expect our first quarter guide to be the low point for both gross profit growth and Adjusted Operating Income throughout the year.

Our full-year guidance implies a meaningful inflection in growth during the year and we have clear visibility into the key drivers of that acceleration as we scale recent product launches and execute on go-to-market.

We expect a more pronounced acceleration in Cash App as we broaden access to Cash App Borrow, launch and scale Afterpay on Cash App Card, and invest in marketing. Cash App has sustained strong gross profit growth for years by driving product velocity, and successfully stacking new S curves onto its existing product set to deliver more value to customers.

We believe we're at the start of another exciting growth phase as we bank our base, and with the ability to stack future building blocks of growth from both Borrow and Afterpay on Cash App Card.

We ended 2024 with 5 million Cash App Borrow monthly actives. This year we plan to expand to additional customers and offer higher limits by improving underwriting, refining unit economics, expanding to more states, and integrating Borrow with direct deposit. Afterpay on Cash App Card launched this week, and we are rolling it out to new customers now after a year of strong testing. We see this product as another way for customers to manage their money and to drive increased spending through Cash App Card.

Beyond these specific products, we're focused on driving more customers to Cash App Card, a gateway to our broader banking offerings, and further growth in paycheck deposit actives.

For Square, we expect both GPV and gross profit to improve throughout the year, driven by a combination of both retention and acquisition. We meaningfully ramped marketing investments in the second half of 2024, and the strong returns we've sustained here give us conviction that these will compound as the year progresses.

We also continue to invest behind our partnership and field sales strategies and we expect growth contributions from these initiatives to increase compared to 2024. The platform investments we made last year across onboarding, orders, and single app, are all expected to drive strength in Square this year. Many of the launches we highlighted this quarter were enabled by our recent platform enhancements.

We have an extensive portfolio of growth initiatives across Square and Cash App and we're excited for those to help drive accelerating growth in 2025. From a profitability perspective, we expect Adjusted Operating Income of \$2.1 billion, or approximately 21% margin, expanding 240 basis points year over year, even as we grow acquisition spend by more than 20% year over year across Square and Cash App.

We remain committed to disciplined growth and driving cost efficiencies. We were below our 12,000 person cap at the end of the year, and we intend to remain below for the foreseeable future.

In 2024, we built the foundation for our next era of growth and we're excited about our momentum heading into 2025. Our goal across both Square and Cash App in the year ahead is to make sure we're balancing continued growth investments on product and go-to-market with increased efficiency across our organization. With this, we expect to exit 2025 at a Rule of 40 run-rate, and remain on track to achieve our target of Rule of 40 in 2026.

As Jack said in his letter, we're excited to host you for an investor day in the second half of this year to show you more of our progress in these areas. With that, I'll turn it back to the operator to start the Q&A portion of the call.